

Speakers



Jaipal Singh, associate research manager, Client Devices, IDC India



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from underperformance with respect to the prescribed annual ceiling on net incremental sales of eligible products, by any applicant(s) in any category, will be allocated to the remaining eligible applicants under such category who have achieved net incremental sales in excess of the annual ceiling,” reads the announcement made by MeitY.

For international brands, laptops with an invoice of or above 30,000 rupees (US\$400) will be counted. Similarly, tablets of or above 15,000 rupees (US\$200) will be counted. No such limit has been announced for all-in-one PCs and servers, and no such limit has been announced on any of these products for domestic companies.

The IT hardware manufacturing sector, as per MeitY, faces lack of a level playing field vis-à-vis competing nations. So, there is a need for a mechanism to compensate for the manufacturing disabilities vis-à-vis other major manufacturing economies.

“The multiplier effect of this scheme, in terms of the service sector, the software sector, and building a local ecosystem will be wider. Five to six times of the current employment will be created in the country. That is the power of an Opex based scheme. The Capex based schemes, on the other hand, do not usually have a multiplier effect,” according to Nitin.

He exclaims, “Yes, the biggest beneficiary will be the industry, but the second biggest beneficiary will be the government and the country. The kind of revenues, in the form of service tax and other taxes, the government will

be able to generate from this scheme will be much higher than anything previously seen!”

Beyond international and domestic companies

MeitY, from the very first PLI scheme that was introduced in India in 2020, has been clear that it is looking to encourage global champions to set shop in the country and, at the same time, is also looking to create global champions from India. The PLI for IT hardware manufacturing, following suit, is looking to reward both international as well as national companies.

“It would not do justice if I take names of the brands or companies that would look forward to setting shop in India. Let me say that all the brands that set shop here would be flooded with volumes. Everyone will move to India to at least start the assembly operations,” feels Nitin.

A close look at any report of the top-selling brands of laptops, all-in-one PCs, servers, and tablets will be good enough to gauge which ‘champion’ brands will be encouraged to make in India. On the domestic part, there will be room for new companies to emerge as well.

“There are more than a hundred ways to cheat and earn incentives through schemes that promote tariffs on imports, but this PLI scheme is simple - you perform, that is, you manufacture and show your capability and you get rewards. Be it any brand, the playing field is equal for anyone and it is not based on the kind of money they have but the kind of investment and production they can

showcase,” explains Nitin.

For clarification, domestic or national companies are defined as those which are owned by resident Indian citizens as defined in the FDI Policy Circular of 2017. A company is considered as ‘owned’ by resident Indian citizens if more than 50 per cent of the capital in it is beneficially owned by resident Indian citizens and/or Indian companies, which are ultimately owned and controlled by resident Indian citizens.

“The international companies will have to shift their supply chain to India, or they will have to build one here in India, to be able to cater to the volumes,” adds Nitin. This is where the country will benefit the most from this PLI scheme. A lot of opportunities will be created for the MSMEs and start-ups to supply to these big domestic as well as international companies. Currently, most of the components used in these products are imported from countries like China and almost zero manufacturing of these takes place in India.

A recent report by India Cellular & Electronics Association and Ernst & Young notes that for the year ending March 2021, India’s import of laptops is estimated to have reached close to US\$5 billion, of which those from China are expected to hit US\$4.35 billion. Similarly, India’s import of tablets for the year is estimated to be in the range of US\$0.35 billion, while exports are unlikely to cross even the US\$0.02 billion mark.

“Mark my words, all the big brands will start chasing after manufacturing in India. This decade of 2021 to 2030 would be an era where a lot of electronics hardware start-ups will emerge in this country. The credit will go to the PLI schemes like this one. There will be inclusive growth,” feels Nitin.

He adds, “This is also an opportunity for MSMEs to grow beyond what they are. This scheme has the power to enable them to supply millions of components. That said, the government should also look towards building a financial support ecosystem for the MSMEs and electronics hardware start-ups. Big companies have big pockets but the MSMEs and start-ups usually function on the basis of small funds.” **EFY**